Management's Discussion & Analysis

The Business

Canada Bread Company, Limited ("Canada Bread" or "the Company"), which is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,200 people at its operations across North America and in the United Kingdom.

Effect of Restructuring and Other Related Costs

Operating earnings, net earnings, and earnings per share ("EPS") comparisons for the year exclude $5.5 million ($3.7 million after tax) of restructuring and other related costs and in 2005 exclude $4.7 million ($3.2 million after tax) of restructuring and other related costs. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

Selected Financial Highlights

The following is a summary of audited financial information for the three years ended December 31, 2006 (in millions of dollars except per share information):

	2006	2005	2004
Sales	**$ 1,334.9**	$ 1,227.0	$ 1,207.3
Operating earnings before restructuring and other related costs[ii]	**113.4**	111.1	99.0
Net earnings as reported	**53.6**	74.9	66.6
Restructuring and other related costs, net of tax	**3.7**	3.2	–
U.S. tax adjustment	**21.2**	–	–
Net earnings before restructuring and other related costs and U.S. tax adjustment[ii]	**78.5**	78.1	66.6
Total assets	**924.3**	761.4	767.6
Net debt[i]	**40.7**	20.9	82.5
Per share			
Basic EPS	**$ 2.11**	$ 2.95	$ 2.62
Diluted EPS	**$ 2.11**	$ 2.93	$ 2.57
EPS before restructuring and other related costs and non-recurring U.S. tax adjustments[ii]	**$ 3.09**	$ 3.07	$ 2.62
Cash dividends	**$ 0.24**	$ 0.24	$ 0.24

(i) Net of currency swaps
(ii) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and the non-recurring U.S. tax adjustment are not representative of continuing operations

Results of Operations

The Company performed well in a year of record high wheat prices and volatile energy prices. The fresh bakery operations had another strong year, supported by its brands, innovative market leadership and pricing to offset rising costs. The Company's U.K. bakery is on a solid growth trajectory, benefiting from major investments in additional capacity and acquisitions that have established the Company as a leading specialty bakery in the United Kingdom. The fresh pasta business expanded capacity, new product lines and market reach. The Company's earnings performance was impacted by challenges in the North American frozen bakery business, where price increases lagged rising input costs and the business experienced some operating challenges. The focus in 2007 is on growing the top line through innovation and category expansion, and restoring profitability in the frozen business.

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Sales for the year of $1.3 billion increased 8.8% compared to last year. Adjusting for the impact of acquisitions in the U.K., sales for the year increased by 5.5% as a result of increased sales across all the businesses.

Earnings from operations before restructuring and other related costs for the year increased 2.1% to $113.4 million from $111.1 million last year. Net earnings before restructuring and other related costs of $78.5 million ($3.09 per share) compared to $78.1 million ($3.07 per share) last year. Including restructuring and other related costs, 2006 net earnings were $53.6 million ($2.11 per share).

Operating Segments

The Company's operations are classified into two primary business segments, which have been used for operating segment disclosures for all years presented. Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces. Frozen Bakery includes North American and United Kingdom ("U.K.") frozen bakery products including frozen par-baked and specialty bakery products.

Operating Review

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects sales and operating earnings by business group before restructuring and other related costs:

Sales

($ millions)	**2006**	Change	2005	Change	2004
Fresh Bakery	**898.8**	5.6%	851.5	1.8%	836.6
Frozen Bakery	**436.1**	16.1%	375.5	1.3%	370.7
	1,334.9	8.8%	1,227.0	1.6%	1,207.3

Earnings from Operations Before Restructuring and Other Related Costs

($ millions)	**2006**	Change	2005	Change	2004
Fresh Bakery	**93.9**	14.5%	82.0	22.0%	67.2
Frozen Bakery	**19.5**	(33.1%)	29.1	(8.5%)	31.8
	113.4	2.1%	111.1	12.2%	99.0

Fresh Bakery

Fresh Bakery sales for the full year were $898.8 million compared to $851.5 million last year. Sales increases were driven by price increases and sales mix improvements that more than offset some volume declines in fresh bread which resulted from overall market softness. Pasta sales were also higher than the prior year.

Earnings from operations before restructuring and other related costs for the year increased 14.5% to $93.9 million from $82.0 million last year. This improvement in operating earnings is a result of improved sales mix, operating improvements, and price increases that took place earlier in the year to cover the significant rise in fuel and wheat costs. The business also benefited from new product innovation, including Dempster's and POM Smart bread that was launched earlier this year, a white bread product made with a new enriched whole wheat flour that provides the health attributes of whole grain bread. Fresh pasta earnings increased for the year, expanding its whole grain higher nutrition product lines and adding capacity through investment in its manufacturing plant in British Columbia.



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In November 2006, the Company announced the closure of its facility in Langley, British Columbia. This decision to close the bakery was based on the need to improve manufacturing efficiencies in Western Canada and will allow the Company to consolidate manufacturing into existing facilities. The Company expects costs of closure, including severance, decommissioning and asset write-downs, will result in a restructuring and other related charges of approximately $7.4 million before tax ($5.0 million after tax), of which $4.1 million has been recorded in the fourth quarter and the remainder will be recorded when the plant is decommissioned.

Frozen Bakery

Sales for the year increased 16.1% to $436.1 million from $375.5 million last year. A significant portion of this increase reflected the contribution of acquisitions in the U.K. Excluding these acquisitions, sales increased by 5.4% for the year.

Frozen bakery earnings from operations before restructuring and other related costs for the year decreased by 33.1% to $19.5 million from $29.1 million last year. The North American Frozen bakery operations sales and volumes increased, but profitability declined due to record high wheat costs, higher energy and distribution costs, and some operational issues at the Roanoke, Virginia facility. The U.K. bakery operations benefited from the contribution of recent acquisitions and increased production at the new bagel plant in Rotherham, England. Through these investments, the Company now operates one of the largest specialty bakeries in the United Kingdom, with leading market shares in the bagel, croissant and in-store bakery categories.

Other Income

Other income for the year decreased to $0.4 million from $1.9 million in 2005. The decrease was primarily due to reduced gains on fixed asset disposals.

Restructuring and Other Related Costs

During the fourth quarter of 2006, the Company recorded $5.5 million in restructuring and other related costs ($3.7 million after tax) primarily in respect of the closure of its bakery in Langley, British Columbia and some other lease termination costs. Further restructuring and other related costs estimated at $3.3 million will be recorded when the Langley, B.C. plant is decommissioned.

During the first quarter of 2005, the Company recorded $4.7 million in restructuring and other related costs ($3.2 million after-tax) primarily related to the closure of its bakery in Peterborough, England, and the closure of a pasta manufacturing line due to the termination of a co-packing agreement with Maple Leaf.

Interest Expense

Interest expense was $3.7 million for the year compared to $5.4 million in 2005 principally due to lower debt levels as the Company generated strong free cash flow that was used to pay down debt. The Company's average effective cost of borrowing was approximately 4.0% (2005: 3.4%).

Income Taxes

Income tax expense increased to $51.2 million from $27.9 million in 2005. The substantial increase in taxes was primarily caused by the Company's decision in the third quarter to record a non-recurring tax expense of US$19.2 million ($21.2 million) to write-down future tax assets related to its U.S. frozen bakery business. Although the Company continues to believe that the tax losses incurred to date in the jurisdiction will be utilized, the accumulation of tax losses in recent years and uncertainty as to when these losses will be utilized, triggered an application of accounting rules that required the Company to set up a full valuation allowance against these tax assets. Components of the changes are provided in Note 14 to the Consolidated Financial Statements. As a result, the Company's effective tax rate was 48.9% in 2006 compared to 27.1% in 2005.

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Transactions with Related Parties

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock award programs, accounting, investor relations and access to bulk purchasing programs. Furthermore, Maple Leaf also provides other specific services, namely information systems and engineering support. Details of amounts paid in respect of these services are set out in Note 16 to the Consolidated Financial Statements.

The Company purchased 50% of Royal Touch Foods Inc. ("Royal Touch") shares from Maple Leaf for $4.5 million (Note 16). For accounting purposes, this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retains 88.0% ownership interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the exchange amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

Capital Resources and Liquidity

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Historically, the Company has consistently generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

Cash Flow from Operations

The Company continued to generate strong operating cash flow in 2006 of $106.3 million compared to $115.1 million last year. The decrease was due largely to changes in non-cash working capital.

Capital Expenditures

Capital spending for the year was $48.0 million compared to $54.7 million last year. The largest capital projects in 2006 related to capacity expansion in the Vancouver, B.C. pasta facility and in the U.K. bakery.

Debt Facilities

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $293.3 million (2005: $281.9 million), of which $116.6 million (2005: $40.4 million) was utilized (including $9.4 million in respect of letters of credit) at December 31, 2006 (2005: $8.1 million).

The Company has a $250.0 million revolving term facility with Maple Leaf, maturing on December 27, 2008. In 2006, the company established an operating line of credit of £5.0 million to provide short term funding for its U.K. operations.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2005: $70.0 million) sold pursuant to this facility.

Details of these facilities are described in Note 7 to the consolidated financial statements.

Contractual Obligations

The following table provides payment information as at December 31, 2006 related certain of the Company's material contractual obligations:

		Payments due by fiscal year					
($ millions)	Total	2007	2008	2009	2010	2011	After 2011
Long-term debt	96.0	9.5	86.5	–	–	–	–
Lease obligations	69.3	16.6	13.7	10.3	7.1	6.3	15.3
Cross currency swap	(56.4)	–	(56.4)	–	–	–	–
Total contractual obligations	108.9	26.1	43.8	10.3	7.1	6.3	15.3

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. As at December 31, 2006, the Company was in compliance with all debt covenants. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

Derivatives

Inherent in the bakery business is some exposure to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 8 to the Consolidated Financial Statements. If the Company had not entered into these contracts, operating earnings for 2006 would have been lower by $0.3 million (2005: $0.6 million) and interest expense would have been higher by $3.4 million (2005: $1.4 million).

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2006, 42.2% (2005: 81.9%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is in accordance with risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2006, there were no material derivative gains or losses related to hedge ineffectiveness and no hedges were discontinued in 2006 as a result of it becoming probable that a forecasted transaction would not occur.

In general, the Company holds derivative contracts to maturity as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 8 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

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Share Capital and Dividends

During 2006 and 2005, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2006 and 2005.

As of February 15, 2006, there were 25,416,812 common shares of the Company issued and outstanding.

Environment

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Environment, Health and Safety Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. There can be no assurance, however, that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

Risk Factors

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this report. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems. The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. dollars) other than the Canadian dollar. Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges" or offsetting currency exposure (for example, when revenues and costs are both linked to other currencies) or (b) an ability to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company.

However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. The Company's earnings related to the U.K. may also be affected, adversely or favourably, by foreign currency translation.

Commodity

The Company is a purchaser of certain commodities, such as wheat and natural gas in the course of normal operations. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short term. On a longer term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers.

Regulation and Legal Matters

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates including the Canadian Food Inspection Agency. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licences relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

In the normal course of its operations, the Company becomes involved in various legal actions. The Company believes that the resolution of these claims will not have a material effect on the Company. However, the final outcome with respect to actions outstanding or pending or with respect to future claims cannot be predicted with certainty, and therefore there can be no assurance that their resolution will not have a material adverse effect on the Company's financial position or results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs.

In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material affect on the Company's financial results and financial condition.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Leverage

The terms of the Company's credit facilities and the terms of any debt securities, if issued, include covenants which could limit the Company's operating and financial flexibility. The Company's ability to make scheduled payments of principal or interest, or refinancing of, its indebtedness depends on its future business performance, which is subject to economic, financial, competitive and other factors beyond its control. Any failure by the Company to satisfy its obligations with respect to its indebtedness at maturity or prior thereto would constitute a default under such indebtedness and could cause a default under the agreements governing other indebtedness, if any, of the Company.

Employment Matters

The Company and its subsidiaries have approximately 8,200 full and part-time employees, which includes salaried and union employees many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each of which with differing employment laws and practices and differing liabilities for punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have an adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

Critical Accounting Estimates

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with Management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgment on the part of Management.

Management's Discussion & Analysis

The following is a summary of certain accounting estimates or policies considered critical by the Management of the Company.

Goodwill Valuation

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of a reporting unit has been impaired. In performing this test the Company assesses the value of goodwill of its various reporting units. In testing goodwill for impairment in the second quarter of 2006, it was noted that no impairment in the value of goodwill had occurred.

Reserve for Bad Debts

The Company establishes an appropriate provision for non-collectible or doubtful accounts. Estimates of recoverable amounts are based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

Provisions for Inventory

Management makes estimates as to the future customer demand for our products when establishing the appropriate provisions for inventory. In making these estimates we consider the life of the product, the profitability of recent sales of the inventory, and changes in the customer mix.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate versus contracted rates.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance 7.5%, salary escalation 3.5%, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2006 current service and interest costs.

Taxes

The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgment is required in determining income tax provisions and in evaluating tax positions. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax positions that may be reviewed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

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Restructuring and Other Related Costs Reserves

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure that these accruals are still appropriate. In certain instances, management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

Change in Accounting Policies

Sales Classification

On January 1, 2006, the Company retroactively adopted the guidance presented in Emerging Issues Committee ("EIC") Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer including a Reseller of the Vendor's Products". The EIC requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The adoption of this standard resulted in a restatement of sales in prior periods. The impact of the adoption of this standard was a reduction in sales during fiscal 2006 of approximately $131.0 million (2005: $119.5 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

Recent Accounting Pronouncements

Capital Disclosures

In October 2006 the Canadian Accounting Standards Board issued Section 1535 "Capital Disclosures" ("Section 1535") which requires entities to disclose qualitative information about their objectives, policies and process for managing capital. This standard is effective for fiscal periods beginning on or after October 1, 2007. The company has not yet determined the impact this standard will have on its disclosures.

Financial Instruments

In 2005, the Canadian Accounting Standards Board issued three new standards effective for fiscal year ends beginning after October 1, 2006; CICA Handbook Section 1530 "Comprehensive Income" ("Section 1530"), Section 3855 "Financial Instruments – Recognition and Measurement" ("Section 3855"), and Section 3865 "Hedges" ("Section 3865"). The company will adopt these standards effective January 1, 2007.

Section 1530 requires that companies present comprehensive income and its components, as well as net income, in their financial statements. Comprehensive income is the change in equity during a period resulting from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by owners and distributions to owners.

Section 3855 requires that all financial assets be classified as held for trading, held-to-maturity, available for sale held-to-maturity or loans and all financial liabilities as held for trading or as other liabilities. All derivative instruments, including any embedded derivatives that are required to be separated from the host instruments, must be classified as held for trading. Financial assets and liabilities classified as held for trading are measured at fair value with gains and losses during the period recognized in net income in the periods in which they arise. Financial assets classified as available-for-sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired. Held-to-maturity investments, loans and receivables and other liabilities are measured at amortized cost. Gains or losses on financial assets and liabilities carried at amortized cost are recognized in net income when the financial asset or financial liability is derecognized or impaired.

Section 3865 establishes standards for when and how hedge accounting may be applied. The standard requires that hedges be designated as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining operation. For a fair value hedge, the gain or loss on the hedging item is recognized in earnings in the period together with the offsetting change on the hedged item attributable to the hedged risk. For a cash flow hedge, as well as a hedge of a net investment in a self-sustaining operation, the effective portion of the unrealized gain or loss on the hedging item is reported in other comprehensive income and subsequently recognized in earnings when the hedged item affects earnings.

The impact of the Company's adoption of Sections 1530, 3855 and 3865 is expected to be as follows:

- Other Comprehensive Income will be reported in the Shareholder's Equity section to show unrealized gains and losses that are not included in GAAP income.
- On an ongoing basis, any non-equity accounted investments will need be carried at fair value rather than historical cost. The Company does not expect the impact of this requirement to be significant to its financial statements.
- All hedging activities will be set up on the balance sheet with the offset flowing through the Other Comprehensive Income. The Company has determined that the adoption of Handbook Section 3865 will not cause any significant changes in its overall risk management strategy and in its overall hedging activities.
- Instruments that meet the definition of a derivative that are embedded in non-derivative contracts will be separated where the economic characteristics and risks of the embedded instrument are not closely related to those of the host, and where the combined instrument is not measured at fair value. The Company has reviewed its significant outstanding contracts, and has determined that there are no significant embedded derivative features requiring separate recognition as at December 31, 2006.
- The Company is currently evaluating the impact these standards will have on its results of operations and financial position.

Disclosure Controls and Internal Controls over Financial Reporting

The Company's disclosure controls and procedures were designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation. The Company's management, under the direction and supervision of the Chief Executive Officer and Chief Financial Officer, has evaluated the effectiveness of the Company's disclosure controls and procedures as at December 31, 2006, and has concluded that such disclosure controls and procedures are effective.

The Company's management, under the direction and supervision of the Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls were designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP. There have been no changes in the Company's internal control over financial reporting during the quarter ended December 31, 2006 that have materially affected, or are reasonably likely to materially affect its internal control over financial reporting.

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Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2006 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2006**	**$301,564**	**$335,545**	**$342,344**	**$355,479**	**$1,334,932**
	2005[1]	289,376	314,280	314,518	308,831	1,227,005
Net earnings	**2006**	**19,397**	**22,880**	**(2,715)**	**13,988**	**53,550**
	2005	11,885	21,262	23,038	18,737	74,922
Net earnings before restructuring and other related costs and non-recurring tax adjustments	**2006**	**19,397**	**22,880**	**18,503**	**17,711**	**78,491**
	2005	15,104	21,262	23,038	18,737	78,141
Earnings per share						
Basic	**2006**	**$ 0.76**	**$ 0.90**	**$ (0.11)**	**$ 0.55**	**2.11**
	2005	0.47	0.84	0.91	0.74	2.95
Basic before restructuring and other related costs and non-recurring tax adjustments	**2006**	**0.76**	**0.90**	**0.73**	**0.70**	**3.09**
	2005	0.59	0.84	0.91	0.74	3.07
Diluted	**2006**	**0.76**	**0.90**	**(0.11)**	**0.55**	**2.11**
	2005	0.47	0.83	0.90	0.74	2.93

(1) Restated in accordance with Note 2 to the Consolidated Financial Statements

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Forward-Looking Statements

This document contains and the Company's oral and written public communications often contain forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or

forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the United States dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; operating efficiencies; access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; and actions of domestic and foreign governments. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have, its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things:

- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to the creditworthiness of customers to whom the Company extends credit;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the impact of international events on commodity prices and the free flow of goods;
- the risks posed by compliance with extensive government regulation and legal claims;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with a consolidating retail environment;
- the risks associated with the Company's outstanding indebtedness;
- the risks associated with animal disease and human health; and
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements.

The Company cautions you that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 8 of this document. You should review such section in detail. Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

February 20, 2007